

four NFTs featuring the all-new Thar, on Tech Mahindra's NFT marketplace, Mahindra Gallery. The amount raised was donated to Project Nanhikali for the education of underprivileged girls in India. Anand Mahindra tweeted about the new experiment, "We believe it's not just a make-believe world, it's also a place where we can explore solutions for making the real world a better place. Only fitting that the Thar—our flagship off-roader—leads us into the uncharted landscape of NFTs."

Brands around the world are trying to engage with their customers in the emerging digital world. Some of the brand-based NFTs are assets or accessories that can be used in the virtual world, like digital sneakers or sunglasses that your *avatar* can wear, while others are merely collectibles that are expected to increase in value.

Sometimes, the brand-based NFT comes coupled with some tangible reward—after all, the customers have shown great loyalty! For example, some of the sneaker NFTs developed by RTFKT, which Nike recently acquired, include a tradeable ticket for a physical shoe that you can collect in the future. Similarly, the winners of Mahindra's NFTs also got a chance to experience the all-new Thar in one of Mahindra's 4x4 off-roading tracks. Adidas' debut NFTs offered the holder virtual wearables and the right to redeem them for physical freebies like a hoodie, a tracksuit, and a beanie! NFTs can be a great way to presell physical products in the virtual world!

Hero worship: When Under Armour launched a series of sneaker NFTs to commemorate Stephen Curry's NBA three-point record, it sold out in less than a minute! A single LeBron James highlight NFT sold for \$200,000. Guardian Link and BeyondLife, club recently launched an exclusive collection of 250 NFTs dedicated to Indian-origin astronaut Kalpana Chawla, with never-before-seen images shared by her family. The proceeds

Creating scarcity

The value of a collectible increases with scarcity. In a physical market, scarcity is inevitable at some point of time. Products get sold out, technologies get phased out, fashions change—it just happens with time. However, digital creations usually have a huge or infinite supply. For example, an audio track can be downloaded any number of times, and any number of years later from some web source. NFTs aim to create digital scarcity to increase the value of associated assets. NFTs that are rare and few have a greater value than those that are mass-minted. So, when the NFT is no longer available in the primary market, its value in the secondary market increases, especially if it is something that people want to own.

Here is the story of someone who took this concept too seriously! In March 2021, a group of private investors purchased Banksy's 'Morons' for nearly \$100,000. They digitised and minted this as an NFT. They then burnt the original print in a live-streamed video and put up the NFT for sale. It sold for approximately \$380,000!

Ironically, 'Morons' by graffiti artist Banksy depicts a Christie's auctioneer pointing at framed paintings in a crowded auction room. Next to him is a framed image accompanied by a phrase including the words, "I can't believe you morons actually buy this!"

were donated to an Indian charity for education. World over, celebrities like Snoop Dogg and Lindsay Lohan are launching unique memories and moments as securitised NFTs.

Sports collectibles: The US basketball league NBA is selling officially licensed digital collectibles under the banner NBA Top Shot. These are basically NFT trading cards embedded with notable basketball moments. After tasting success, they are now expanding into NFTs of virtual jewellery, accessories and clothing that can be used across social media.

Cricotos is a series of official digital collectibles being launched by the International Cricket Council in association with FanCraze, which aims to build the ultimate cricket metaverse. Cricotos gives fans a chance to own pieces of cricketing history. Different levels of Cricotos are minted—ranging from common (extensively minted) to Genesis (the rarest ones). Each represents a highlight-worthy event in cricketing history. The current collections include clips from ICC World Cup 2015 and 2019. The packs are dropped on FanCraze.

"NFTs are a golden money-making opportunity for the sports industry

and also a great way for sports fans to engage with their favourite teams, athletes, and historical moments. People have always loved to own sports collectibles," says James Green, group investment director at deVere, which has recently launched the dV Gems Platform to help clients identify and invest in winning NFTs.

Avatars

According to CoinMarketCap, the top seven NFT collections by market cap are avatar NFTs—headshots of cartoon characters or pixelated people. The most popular of these collections are CryptoPunks, Bored Ape Yacht Club (BAYC), and Pudgy Penguins. Quite a few studies show that avatar NFTs are overtaking metaverse game assets, fine art pieces, and sports NFTs.

Avatar NFTs can be your digital profile in the metaverse—across virtual worlds and social media platforms. Twitter, for example, lets you sport your avatar if you own one, so it becomes like a trendy and tech-savvy status symbol for many! Tonight Show host Jimmy Fallon and Grammy-winning producer Timbaland have Bored Ape NFTs as their Twitter profile pics, along with many other